	To Balance c/d	**90,000**	**1,10,000**		By Interest on capital A/c	20,000	30,000
					By Commission A/c	17,000	-
					By Salary A/c	-	38,000
		1,37,000	1,88,000			1,37,000	1,88,000
					By Balance b/d	90,000	1,10,000

3.6.2 Fluctuating capital method

Under this method, only capital account is maintained for each partner. All the transactions between the partner and the firm are recorded in the capital account. This account is credited with initial and additional capital introduced by the partner, interest on capital, partner's salary or commission and share of profit of the partner. The account is debited with capital withdrawn, drawings, interest on drawings and share of loss of the partner. As a result, the balance in this account goes on fluctuating periodically. Under this method, the partner's capital account may show either credit balance or debit balance.

Format of capital account under fluctuating capital method

Dr. **Partners' capital account** **Cr.**

Date	Particulars	A	B	Date	Particulars	A	B
		₹	₹			₹	₹
	To Cash / Bank A/c	xxx	xxx		By Balance b/d	xxx	xxx
	(capital withdrawn)				By Cash / Bank A/c	xxx	xxx
	To Drawings A/c	xxx	xxx		(additional capital introduced)		
	To Interest on drawings A/c	xxx	xxx		By Interest on capital A/c	xxx	xxx
	To Profit and loss appropriation A/c	xxx	xxx		By Salary A/c	xxx	xxx
	(share of loss)				By Commission A/c	xxx	xxx
	To Balance c/d	xxx	xxx		By Profit and loss appropriation A/c	xxx	xxx
					(share of profit)		
		xxx	xxx			xxx	xxx

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